

## Chapter 2    Budgeting

### Let's Start

- 1        The new coffee shop that opened near Stephen's shop launched a promotion and offered a deep discount for its coffee. As a result, many customers patronised the new coffee shop instead of Stephen's shop, causing sales at Stephen's shop to decrease.
- 2        Stephen may increase sales at his shop in the following ways:
- Offer a small price discount on its coffee. As the new coffee shop only offers a discount on the second cup of coffee, Stephen's promotion may attract customers who only want to buy one cup of coffee.
  - Promote types of coffee or drinks that are not sold at the new coffee shop
  - Launch a frequency programme and reward loyal customers who patronise the shop at least a certain number of times a month
- (Any other reasonable answers)

### Check Your Progress

- P2-1**    (a) T
- (b) F     Investing is not a major purpose of budgeting. The third purpose should be controlling.
- (c) T
- (d) F     Different parts of the budgets can be used as performance standards to evaluate the performance of different departments.
- P2-2**    (a) F     A firm's budgeting process should involve all departments.
- (b) F     Adjustments to the budget should be allowed under some circumstances during the implementation period.
- (c) T
- (d) T
- P2-3**    (a), (b) and (c)
- P2-4**    (a) qualitative
- (b) business environment
- (c) cannot
- (d) reluctant
- P2-5**    (a) Unfavourable
- (b) Favourable
- (c) Favourable
- (d) Unfavourable

- P2-6** (a) favourable  
(b) fewer; more  
(c) more  
(d) favourable
- P2-7** (a) Unfavourable  
(b) Unfavourable  
(c) Favourable
- P2-8** (a) Buy steel in larger quantities to obtain a bigger price discount / Source another supplier that offers cheaper steel  
(b) Enhance brand recognition / Place more advertisements  
(c) Provide more training to production workers to enhance their work efficiency

### Let's Try

**T2-1** It is important to clearly define the responsibility of managers for the budget because this allows managers to clearly understand their goals. As a result, they know what they should do to meet their target. Otherwise, the firm may be unable to implement budgetary control effectively.

It is also important to involve all departments in the budgeting process. If one department is not allowed to participate in the preparation of its budget, the staff may think that they must accept the budget even though it is unattainable. They may also be less willing to comply with the budget imposed on them. As a result, the staff's morale and work incentive may decrease.

**T2-2** Uncontrollable factors that may lead to an unfavourable variance in an airline's profit include:

- A pandemic which makes people avoid travelling overseas
- An economic downturn which reduces people's spending
- A deep discount offered by a competitor which draws customers away from the airline

(Any other reasonable answers)

### Assessment

#### Short Questions

**2.1** The purposes of budgeting include:

- Planning: By preparing budgets, a firm can plan for its financial resources; forecast profit and loss and foresee possible financial difficulties; and provide clear direction for different departments to follow.
- Coordinating: Department managers need to communicate during the budgeting process. This enables coordination between different departments in order to achieve the firm's goals.
- Controlling: Budgets can be used as performance standards. By comparing actual results with the budgets, senior management can monitor and evaluate the performance of different departments. They can also identify the part of the firm which fails to meet expectations and take remedial action to rectify the problem.

Any two

2 marks each

- 2.2** Remedial actions that the factory may take include:
- Installing a security system in the warehouse 2 marks
  - Hiring a security guard to protect materials in the warehouse 2 marks
- (Any other reasonable answers)
- 2.3** Possible reasons that the boutique's sales last year were lower than the budgeted amount:
- The boutique's sales volume last year was below the budgeted level due to poor marketing. 2 marks
  - The boutique had to lower the selling price of its products in order to deal with fierce competition. 2 marks
  - As the boutique put more effort in promoting its low-priced products, more low-priced products and fewer high-priced products were sold compared with the budgeted amount. 2 marks
- (Any other reasonable answers)
- 2.4** Uncontrollable factors that may have led to this variance:
- The government raised the minimum wage level last year, so the restaurant needed to pay higher salaries to retain its employees. 2 marks
  - An employee took maternity leave last year, so the restaurant needed to hire another employee to take over her work. 2 marks
- (Any other reasonable answers)
- 2.5** Possible reasons why the mobile phone shop may choose not to take remedial action:
- The variance may be due to uncontrollable factors. For example, if a fire broke out at the building where the mobile phone shop is located, the shop would need to close for a period of time. The loss of sales during that period was not due to the shop's poor performance. 2 marks
  - The variance may be due to poor budgeting. For example, the mobile phone shop might be too optimistic when setting the sales budget and might have set an unattainable figure. 2 marks
  - The costs of investigating and correcting a variance may outweigh the benefits. For example, if the sales variance is very small, it may not be cost effective for the mobile phone shop to take remedial action to correct the variance. 2 marks
- (Any other reasonable examples)
- 2.6** Possible causes of the variance in flour expenses and corresponding remedial actions:
- The bakery chain bought flour from suppliers in smaller lots than expected and thus received less of a discount. As a result, the actual price of flour was higher than the budgeted price. 2 marks  
To obtain a bigger discount, the bakery chain may buy flour in larger lots. 1 mark
  - The bakery chain employed less experienced bakers. As a result, flour wastage during the production process was higher than expected. 2 marks  
To improve its bakers' work efficiency, the bakery chain may provide more training to the bakers. 1 mark
- (Any other reasonable answers)

**2.7** Possible reasons why the sales and expenses budgets might still need to be adjusted in the future:

- Ice cream sales vary across seasons. Ice cream sales during the summer would be much higher than those in other seasons. Therefore, the sales budget should be adjusted for the different sales levels in different seasons.
- The ice cream shop's business may grow quickly as satisfied customers keep patronising the shop. This will increase both the shop's revenue and expenses. Higher budgets should be set to evaluate the shop's performance.
- Prices for raw materials or utility expenses (such as electricity or water) may rise in the future due to inflation. In this case, the budget for expenses should be adjusted upwards.

Any two

2 marks each

(Any other reasonable answers)

### Essay Questions

**2.8** (a) If the cause of the unfavourable materials variance was that the actual material price was higher than budgeted, the shoe manufacturer may take the following remedial actions:

- It may buy materials (e.g., leather) in larger quantities to obtain a bigger price discount. This can lower the price of materials and therefore the total material costs.
- It may source another supplier that offers cheaper materials. For example, it may buy leather from a supplier in another country that offers a lower price. This can reduce the total material costs.

If the cause of the unfavourable materials variance was that the shoe manufacturer used more materials per unit of output than budgeted, the shoe manufacturer may take the following remedial actions:

- It may provide more training to its production workers to reduce material wastage. This can reduce the materials used and therefore the total material costs.
- It may replace its production machines with more efficient ones. This can also reduce the materials used and therefore the total material costs.

(3 marks for each remedial action which matches the correct cause)

(Any other reasonable answers)

(b) Accounting ratios that the shoe manufacturer may have used to measure its management efficiency include:

- Inventory turnover: This measures how efficiently the shoe manufacturer uses its inventory. A lower inventory turnover means that the shoe manufacturer sold its inventory more slowly and therefore was less efficient in using its inventory.
- Trade receivables turnover: This measures how efficiently the shoe manufacturer collects its trade receivables. A lower trade receivables turnover means that the shoe manufacturer collected its trade receivables more slowly and therefore was less efficient in collecting trade receivables.
- Trade payables turnover: This measures how efficiently the shoe manufacturer pays its trade payables. A lower trade payables turnover means that the shoe manufacturer paid its trade payables more slowly and therefore was less efficient in paying trade payables.

- Total assets turnover: This measures how efficiently assets are being used to generate sales. A lower total assets turnover means that the shoe manufacturer was less efficient in using its assets to generate sales. Any three  
2 marks each

**2.9** (a) Organisational structures that the insurance company may employ to organise its marketing activities include:

- Functional organisation: It may arrange its marketing activities by functions and assign a manager to look after each marketing function (e.g., marketing administration, marketing research and marketing communications). 2 marks
- Product organisation: It may arrange its marketing activities by the types of products offered and assign a product manager to look after each product group (e.g., life insurance, accident and health insurance and investment-linked insurance). 2 marks
- Geographical organisation: It may arrange its marketing activities by geographical locations and assign a regional manager to look after each regional market (e.g., the Americas, Europe and Greater China). 2 marks
- Customer management organisation: It may arrange its marketing activities by types of customers served and assign a customer relationship manager to look after each customer group (e.g., individual customers and business customers). 2 marks

(Any other reasonable examples)

(b) Limitations of using budgetary control to evaluate the performance of the marketing department:

- Difficult to forecast the ever-changing business environment: As the business environment changes rapidly, it is possible that estimates of income and expenses in the budgets become inaccurate after being drawn up. It would be unreasonable to require marketing staff to follow budgets that are no longer practical. Therefore, when implementing budgetary control, the insurance company should review the budgets and allows adjustments to be made if necessary.
- Estimates may be inaccurate or unrealistic: If certain estimates made by the insurance company are inaccurate or unrealistic, the budgets may be wrong and budgetary control cannot be implemented effectively. For example, if the insurance company does not perform marketing research and is overoptimistic when forecasting its sales, it is difficult for the marketing staff to meet the sales budget even if they perform well.
- Only focusing on financial results: As a budget is a quantitative expression of a plan, budgetary control can only focus on the financial results of the marketing department. It cannot assess qualitative achievements such as good relationships with customers and high staff morale.
- May hinder employees from achieving excellence: Budgets may discourage the marketing staff from exceeding targets. Once budgeted goals are met, they know that they have met the company's requirement for the year. Thus, there is no reason to work as hard for the remaining time. Also, the marketing staff may be concerned about the possibility of receiving a higher target or a tougher budget next year if they exceed this year's budgeted goals.

(3 marks for each point, maximum 10 marks)

**2.10** (a) The causes of unfavourable sales and labour variances are as follows:

| Variance                     | Causes                                                                                                                                                                                                                                                                                                                                                                                                   |
|------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Unfavourable sales variance  | <p>The actual selling price was lower than budgeted. For example:</p> <ul style="list-style-type: none"> <li>The smartphone manufacturer lowered the selling price of its older smartphones in order to keep up with the competition.</li> <li>The smartphone manufacturer launched its new smartphone model at a lower price because its competitor launched a similar model at a low price.</li> </ul> |
|                              | <p>The actual sales volume was lower than budgeted. For example:</p> <ul style="list-style-type: none"> <li>The smartphone manufacturer faced keen competition from a new competitor.</li> <li>One of the smartphone manufacturer's smartphone models was found to pose a safety hazard so customers avoided buying smartphones from it.</li> </ul>                                                      |
|                              | <p>More low-priced products and fewer high-priced products were sold compared with the budget.</p> <p>For example, as consumers thought that the latest smartphone model of the smartphone manufacturer had nothing special, they tended to buy the cheaper older models instead of the more expensive new model.</p>                                                                                    |
| Unfavourable labour variance | <p>The actual wage rate was higher than budgeted. For example:</p> <ul style="list-style-type: none"> <li>The smartphone manufacturer used production workers of a higher grade than necessary.</li> <li>The labour union demanded a higher wage rate.</li> </ul>                                                                                                                                        |
|                              | <p>The actual labour efficiency was lower than budgeted. For example:</p> <ul style="list-style-type: none"> <li>The smartphone manufacturer used unsuitable workers.</li> <li>The production workers lacked training.</li> <li>The production workers had low morale.</li> <li>The production workers worked more slowly to earn higher overtime compensation.</li> </ul>                               |

(3 marks for each cause with a correct example, maximum 6 marks for each variance)  
(Any other reasonable examples)

(b) Off-the-job training methods that the smartphone manufacturer may use to train its production workers and salespeople include:

- Lecturing:** The smartphone manufacturer may require its production workers to attend lectures and learn what they should pay attention to when operating production machines.
- Programmed learning:** The smartphone manufacturer may prepare self-learning materials for its production workers about how to operate production machines efficiently. The workers can learn by themselves through books, computers, online platforms or videos.

- Simulated training: If some production workers do not know how to operate new production machines, the smartphone manufacturer may train them with equipment simulation. The workers can learn how to operate the new production machines by using simulation equipment that replicates the major features of real machines.
- Role playing: The smartphone manufacturer may require its salespeople to act out how to respond to customers in different situations. They can improve their communication skills through interacting with each other during role playing.
- Case study: The smartphone manufacturer may prepare cases about different customer requests and let its salespeople discuss how to handle the requests. They can then learn how to handle customer requests properly.

Any three

2 marks each

(Any other reasonable examples)

## Case Analysis

### 2.11 (a) Autocratic leadership

1 mark

Sandy made all decisions by herself and required employees to strictly follow her decisions.

1 mark

### (b) (i) Theory X

1 mark

Sandy believed that employees tend to avoid responsibilities and do not want to improve.

1 mark

(ii) Managers who believe in Theory X would motivate their employees in the following ways:

- Offer attractive monetary rewards (e.g., salaries and bonuses)
- Offer benefits that can satisfy employees' safety and security needs (e.g., insurance and housing subsidies)

2 marks

2 marks

(Any other reasonable answers)

(c) The way that Sandy implemented budgetary control has the following problems:

- She did not let departmental managers participate in the budgeting process. As Sandy cut expense budgets and demanded an increase in sales without discussions with various departments, this may create bad feelings among employees and affect their motivation.
- Sandy did not adjust the budgets when necessary. She did not allow the production department to spend more than the budget to employ more designers. This may cause existing designers to resign and lead to a more serious manpower shortage. If the company fails to do the jobs on time, this would affect the company's reputation and profitability.

2 marks

2 marks

(d) Benefits to Ad King Limited if the above problems are corrected:

- If Sandy lets departmental managers participate in the budgeting process, all departments will be encouraged to plan ahead. Since departmental managers will carefully analyse their departments' capabilities and limitations when they prepare the budgets, they can help the company discover potential problems and opportunities in the future.

- If Sandy lets departmental managers participate in the budgeting process, communication and coordination within the company will be improved. This is because the managers will discuss matters with each other and reach a consensus on how to achieve the company's goals together.
- If Sandy is willing to adjust the budget, the company can keep up with the ever-changing business environment. This allows the company to cope with threats as soon as possible and seize opportunities.

Any two

2 marks each

(Any other reasonable answers)

**2.12 (a) Limitations of implementing budgetary control for Chocolove:**

- Difficult to forecast the ever-changing business environment: If estimates of income and expenses in the budgets become inaccurate after being drawn up, it would be unreasonable for Chocolove to follow budgets that are no longer practical. Therefore, when implementing budgetary control, Herman needs to review the budgets and allow adjustments to be made if necessary.
- Cannot be a substitute for sound management decisions: If Herman does not consider the latest information and exercise good judgement, he may make bad business decisions. This may limit Chocolove's growth opportunities.
- Estimates may be inaccurate or unrealistic: If certain estimates made by Herman are inaccurate or unrealistic (e.g., the sales budget is too optimistic), the budgets may be wrong and budgetary control cannot be implemented effectively.
- Only focusing on financial results: As a budget is a quantitative expression of a plan, budgetary control can only focus on Chocolove's financial results. It cannot assess qualitative achievements such as good relationships with customers, high staff morale and good product or service quality.

Any 2

2 marks each

**(b) Possible causes of the unfavourable variance in Chocolove's sales volume last month:**

- Leon had little baking experience and so the cakes and biscuits he baked may have been of lower quality. As a result, fewer customers bought his products last month.
- The newly opened dessert shop sold all sorts of desserts in addition to chocolate cakes. It may have drawn customers away from Chocolove last month.

2 marks

2 marks

**(c) Herman may use the following promotion mix tools to increase the sales volume:**

- Advertising: He may place advertisements on food websites or social media to promote his products.
- Sales promotion: He may offer free tasting of chocolate cakes and biscuits in order to encourage customers to buy his products.

2 marks

2 marks

(Any other reasonable answers)

**(d) Other remedial actions that Herman may take to correct the unfavourable sales-volume variance:**

- Product: He may create more unique products in order to attract customers. He may also consider creating chocolate pastries other than cakes and biscuits.
- Price: He may lower the prices of chocolate cakes and biscuits a few hours before the shop closes in order to clear as much stock as possible.

- Place: He may offer free delivery service to companies in Tsim Sha Tsui for orders exceeding a certain amount. This can help attract orders from nearby offices. Any 2  
2 marks each

(Any other reasonable examples)

**2.13** (a) A budget is a forecast of future income and expenses. It is a quantitative expression of a plan. 2 marks

(b) (i) Possible causes of the unfavourable sales variance:

- The company lowered the prices of T-shirts in order to increase the sales volume. Therefore, actual sales were lower than the budgeted amount. 2 marks
- The actual proportion of Type A T-shirts sold was higher than the budgeted level. Since the selling price of Type A T-shirts is lower than that of Type B, the actual sales were lower than the budgeted amount. 2 marks

(Any other reasonable answers)

#### Teachers' guide

According to the case, the total sales volume last year was the same as the budgeted level. Therefore, a decrease in the sales volume is not an acceptable answer.

(ii) Possible causes of the favourable labour variance:

- Less skilled workers, whose wage rates are lower, were employed. Therefore, the actual labour costs were lower than the budgeted amount. 2 marks
- The company provided training to workers. As a result, workers' work efficiency increased and the company did not need to offer overtime compensation. The actual labour costs were lower than the budgeted amount. 2 marks

(Any other reasonable answers)

(c) Possible reasons why the company's operating profit was lower than budgeted:

- An unfavourable variance was recorded in the cost of materials. The price of materials may have increased or the company may have wasted more raw materials due to their lower quality. 2 marks
- An unfavourable variance was recorded in distribution costs. This may be due to an increase in oil prices (i.e., transportation cost increased). 2 marks

(Any other reasonable examples)

(d) Advantages of providing the production workers with on-the-job training:

- Lower costs: This training mode is less costly in general as it does not require expensive training facilities and equipment (e.g., computer programs and simulation equipment) or professional trainers.
- Immediate feedback: The production workers can receive immediate feedback on their actual job performance from their trainers. This allows for prompt improvement.
- Skills and knowledge more relevant to the job and practical: The production workers can directly apply the skills and knowledge they have learnt to their work.
- Cater for trainees' needs and abilities: Trainers can customise the training content according to the needs and abilities of the production workers. Any one  
2 marks